

Alphabet

Another strong Q suggests AI use is growing the market; Reiterate Buy

Reiterate Rating: BUY | PO: 217.00 USD | Price: 190.23 USD

Strong 2Q results; Cloud and Search beat a bright spot

2Q net rev. at \$81.7bn beat Street at \$79.9bn, driven by upside across all key segments. Search grew 12% y/y (vs Street 9% and our 11% est.). Cloud grew 32% y/y and was significantly above Street at 27%. 2Q EPS at \$2.31 was above Street at \$2.18. Despite a 1x legal expense of \$1.4bn, which was offset by other income. Core operating margins were up 161bps y/y ex-1x G&A, and Cloud margins were +942bps to 20.7%, a strong Q.

Data points suggest expanding search market with AI

Given competitive concerns, a key positive from print was data points suggesting stable search + incremental AI user growth for Google. These include: 1) Q/Q acceleration in paid click growth to 4% y/y (approaching the 5% growth last year), 2) Relatively steady search rev. growth at 11%E (ex-FX) vs 12%E in 1Q (on tough FS comps), & 3) Ramp in Gemini MAUs by 50mn (to 450mn) in 2 months, & these users are incremental to search.

Strong momentum in Cloud demand drives higher Capex

Google had strong 2Q Cloud deal momentum (backlog +38% y/y, \$250mn deals up 2x y/y in 2Q) & raised FY25 capex guide to \$85bn to support data center buildout. With Cloud backlog up a strong 18% q/q (+\$16bn) & margins up to 20%, added capex spend seems defensible (even a positive?), with the OpenAI deal/commitment a likely partial driver.

Raising '25E net revenue by 1% & EPS by 2%; PO to \$217

We are raising estimates to reflect higher growth across all key segments & Opex for higher D&A. For 3Q, we raise net rev by 1% to \$85.2bn & EPS by 3% to \$2.37. For 2026, we raise net rev by 1% to \$382bn & EPS by 2% to \$10.60. We increase our PO to \$217 (from \$210) based on higher EPS & unchanged 19x multiple.

AI tailwinds continue to outweigh disruption risk; Buy

Another stable qtr for Search results increases our confidence in the AI transition and should ease concerns on a potential revenue reset. We acknowledge growing users of OpenAI but think Street could be underappreciating potential AI driven upside for Search (more use, better ads) & Cloud. At AH price of ~\$195, stock valued at 19x our '26 EPS, with the core business at just 12x in our SOTP (vs S&P at 21.5x). Upcoming DoJ case remedy ruling (expected in Aug) remains an overhang but could also be a clearing event.

Estimates (Dec) (US\$)	2023A	2024A	2025E	2026E	2027E
EPS	5.80	8.04	10.06	10.60	11.58
EPS Change (YoY)	27.2%	38.6%	25.1%	5.4%	9.2%
Consensus EPS (Bloomberg)			10.34	11.42	13.23
Consensus EPS (Visible Alpha)			10.05	10.79	12.92
DPS	0	0.60	0.61	0.60	0.60
EPS (GOOG - US\$)	5.80	8.04	10.06	10.60	11.58
DPS (GOOG - US\$)	0	0.60	0.61	0.60	0.60
Valuation (Dec)					
P/E	32.8x	23.7x	18.9x	17.9x	16.4x
Dividend Yield	0%	0.3%	0.3%	0.3%	0.3%
EV / EBITDA*	19.2x	15.7x	13.4x	11.5x	10.1x
Free Cash Flow Yield*	2.9%	3.1%	2.6%	3.4%	4.2%

* For full definitions of *IQmethod*SM measures, see page 12.

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24 July 2025

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	210.00	217.00
2025E Rev (m)	334,807.5	336,858.7
2026E Rev (m)	378,829.4	381,736.3
2027E Rev (m)	426,645.9	428,535.8
2025E EPS	9.82	10.06
2026E EPS	10.42	10.60
2027E EPS	11.65	11.58
2025E DPS	0.60	0.61

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Stock Data

Price (NAS / NAS)	190.23 USD / 191.51 USD
Price Objective	217.00 USD / 217.00 USD
Date Established	24-Jul-2025 / 24-Jul-2025
Investment Opinion	B-1-7 / B-1-7
52-Week Range	140.53 USD - 207.05 USD
Market Value (mn)	2,361,705 USD
Free Float	99.7%
Average Daily Value	7722.59 USD
Shares Outstanding (mn)	12,415.0 / 12,415.0
BofA Ticker / Exchange	GOOGL / NAS
BofA Ticker / Exchange	GOOG / NAS
Bloomberg / Reuters	GOOGL US / GOOGLQ
ROE (2025E)	35.0%
Net Dbt to Eqty (Dec-2024A)	1.7%

FS: Financial Services

MAU: Monthly Average User

GCP: Google Cloud Platform

YT: YouTube

AIO: AI Overviews

SOTP: Sum of the parts

iQprofileSM Alphabet

iQmethodSM – Bus Performance*

(US\$ Millions)	2023A	2024A	2025E	2026E	2027E
Return on Capital Employed	31.0%	37.2%	35.9%	28.4%	25.1%
Return on Equity	27.4%	35.3%	35.0%	26.9%	23.2%
Operating Margin	42.8%	45.8%	46.2%	46.0%	44.5%
Free Cash Flow	69,495	72,764	61,956	81,279	98,328

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2023A	2024A	2025E	2026E	2027E
Cash Realization Ratio	1.4x	1.3x	1.2x	1.4x	1.5x
Asset Replacement Ratio	2.4x	3.4x	4.0x	3.1x	2.5x
Tax Rate	13.9%	16.4%	17.1%	16.6%	16.6%
Net Debt-to-Equity Ratio	1.2%	1.7%	-0.4%	-9.8%	-17.7%
Interest Cover	NA	NA	NA	NA	NA

Income Statement Data (Dec)

(US\$ Millions)	2023A	2024A	2025E	2026E	2027E
Sales	256,508	295,118	336,859	381,736	428,536
% Change	9.7%	15.1%	14.1%	13.3%	12.3%
Gross Profit	174,062	203,712	234,817	262,898	289,781
% Change	11.1%	17.0%	15.3%	12.0%	10.2%
EBITDA	123,410	150,486	176,761	206,552	234,440
% Change	12.3%	21.9%	17.5%	16.9%	13.5%
Net Interest & Other Income	(23,994)	(15,360)	(8,025)	(22,837)	(25,332)
Net Income (Adjusted)	73,783	100,076	122,418	127,355	138,097
% Change	23.0%	35.6%	22.3%	4.0%	8.4%

Free Cash Flow Data (Dec)

(US\$ Millions)	2023A	2024A	2025E	2026E	2027E
Net Income from Cont Operations (GAAP)	73,795	100,118	122,393	127,304	138,057
Depreciation & Amortization	13,699	15,311	21,131	31,072	43,572
Change in Working Capital	(3,845)	(9,343)	(7,615)	(5,745)	(5,083)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	18,097	19,213	11,589	26,452	29,442
Capital Expenditure	(32,251)	(52,535)	(85,542)	(97,805)	(107,661)
Free Cash Flow	69,495	72,764	61,956	81,279	98,328
% Change	15.8%	4.7%	-14.9%	31.2%	21.0%
Share / Issue Repurchase	953	(8,879)	27,637	39,496	37,896
Cost of Dividends Paid	0	(7,363)	(7,380)	(7,212)	(7,146)
Change in Debt	(11,550)	(2,423)	0	(1,200)	(2,400)

Balance Sheet Data (Dec)

(US\$ Millions)	2023A	2024A	2025E	2026E	2027E
Cash & Equivalents	24,048	24,048	43,456	93,471	157,407
Trade Receivables	47,964	47,964	60,215	67,682	75,694
Other Current Assets	99,518	99,518	88,336	90,430	92,789
Property, Plant & Equipment	134,345	134,345	237,484	304,244	368,393
Other Non-Current Assets	96,517	96,517	133,006	133,806	134,606
Total Assets	402,392	402,392	562,499	689,634	828,888
Short-Term Debt	0	0	0	0	0
Other Current Liabilities	81,814	81,814	93,939	106,386	120,305
Long-Term Debt	27,329	28,725	41,700	41,500	41,300
Other Non-Current Liabilities	9,870	8,474	10,027	10,027	10,027
Total Liabilities	119,013	119,013	145,666	157,913	171,632
Total Equity	283,379	283,379	416,833	531,722	657,257
Total Equity & Liabilities	402,392	402,392	562,499	689,634	828,888

* For full definitions of iQmethodSM measures, see page 12.

Company Sector

Internet/e-Commerce

Company Description

Alphabet is a global technology company focused around key areas, such as search, advertising, operating systems and platforms, enterprise and hardware products. The company generates revenue primarily by delivering online advertising and by selling apps and contents on Google Play as well as hardware products. The company provides its products and services in more than 100 languages and in 190 countries, regions, and territories.

Investment Rationale

We see Alphabet as well positioned long term with leading AI technology to apply to search, YouTube and Cloud businesses. Alphabet should also benefit from increasing mobile usage, video usage, Google Play activity, and connected device activity (including autos). We believe that Alphabet should trade at a premium to a media peer group given technology leadership, high margins, and strong cash flow generation for buybacks.

Stock Data

Average Daily Volume	40,596,044
Shares / Common - Dual Listed	1.00

Quarterly Earnings Estimates

	2024	2025
Q1	1.89A	2.81E
Q2	1.89A	2.31E
Q3	2.12A	2.37E
Q4	2.15A	2.56E

Key Changes

(US\$)	Previous	Current
Price Obj.	210.00	217.00
2025E EPS	9.82	10.06
2026E EPS	10.42	10.60
2027E EPS	11.65	11.58
2025E DPS	0.60	0.61



2Q Summary and thoughts on the stock

Google reported a strong 2Q vs street estimates, with relatively stable search growth (a 1pt ex-FX decel. likely due to tough y/y financial services comps) and YouTube and Cloud growth acceleration. Margins continued to show strong growth for both core (ex-1x charge) and Cloud, and GAAP EPS was up 22% y/y. Given competitive concerns (on ongoing user ramp at Open AI), a key positive from print, in our view, was data points suggesting stable search + incremental AI user growth for Google. These include: 1) Q/Q acceleration in paid click growth to 4% y/y (approaching the 5% growth last year), 2) Relatively steady search growth at 11%E (ex-FX) vs 12%E in 1Q (deceleration likely due to tough FS comps), & 3) Ramp in Gemini MAUs by 50mn (to 450mn) in 2 months, & these users are incremental to search. We think data points that suggest the search/AI market is rapidly expanding, and that Google usage can be an AI beneficiary despite competitive traction, could help the stock re-rate higher with valuation at 19x '26 GAAP (12x core business in sum of parts).

Four key drivers for the stock (revenue trends, y/y core margin trends, use of capital and new disclosures) were mixed in 2Q.

- **Mixed Revenue Trajectory:** Total ex-FX gross revenue growth decelerated 1pts q/q to 13% from 14% in 1Q. Search revenues grew 12% y/y (vs Street 9%), accelerating 2pts on stable y/y comp, but we estimate ex-FX growth decelerated 1pts q/q on 1pts tougher y/y comp. YouTube grew 13% y/y (vs Street 11%) accelerated 3pts q/q on 8pts easier comp, and Cloud revenues grew 32% (vs Street 27%) accelerating 4pts q/q on a 1pt tougher comp.
- **Strong Margin Trajectory:** Core Google operating margins declined 17bps y/y to 38.3%, with core services margin down 8bps. However, excluding a 1x \$1.4bn legal charge, margins were up 161bps y/y to 41.8%. Cloud margin improved 942bps y/y to 20.7%. Total headcount at 187.1K was slightly below Street at 187.3K and was up 4% y/y (up 1% q/q).
- **Capital Allocation reflected q/q decline in buybacks:** Alphabet bought back \$13.6bn of stock in 2Q (vs \$15.1bn in 1Q), total \$59.5bn in TTM. The cash dividend remained changed at \$0.21 per share.
- **Disclosures:** Some new commentary on different segments included:

Search & YouTube

- Total search queries and commercial queries continue to grow y/y, with new AI experiences significantly contributing to this usage
- AI Overviews are now driving over 10% more queries globally for the types of queries that show them, and this growth continues to accelerate over time
- Multimodal search is seeing strong growth, particularly through the combined use of Lens, Circle to Search, and AI Overviews
- The Gemini app now has over 450mn MAUs (vs 400mn in May'25), with daily requests growing over 50% since 1Q
- Advertisers using AI Max in Search campaigns typically see 14% more conversions, and those using Smart Bidding Exploration see a 19% increase in conversions on average
- In the US, YouTube Shorts now deliver the same ad revenue per hour as traditional in-stream ads

Cloud

- The number of deals over \$250mn doubled y/y in 2Q



- In 1H25, Google signed as many deals over \$1bn as it did throughout all of 2024
- The number of new GCP customers grew nearly 28% q/q
- Over 85,000 enterprises are building with Gemini, driving 35x y/y growth in Gemini usage
- Cloud backlog was up 18% q/q or 38% y/y to \$106bn

Other

- 2Q capex of \$22.4bn was nearly two-thirds allocated to servers and one-third to data centers and networking equipment
- Google raised FY25 capex guide to \$85bn (vs \$75bn prior), with expectations for further increase in 2026
- Due to higher capex investments in technical infrastructure, depreciation expense growth is expected to further accelerate in 3Q'25

2Q Positives:

- **2Q Rev/EPS beat:** 2Q net revenue of \$81.7bn and GAAP EPS at \$2.31 was above Street estimates at \$79.9bn and \$2.18 respectively. Revenue upside was driven by strength across all key segments and EPS benefited from higher topline growth.
- **Search revenue beat:** 2Q'25 Search revenue at \$54.2bn (up 12% y/y) was above Street at \$53.0bn (up 9% y/y). 2Q Search growth was driven by strength in the retail and financial services vertical.
- **SPD revenues above Street:** Subscriptions, platforms, and devices revenue at \$11.2bn (up 20% y/y) was above Street estimates at \$10.7bn (up 15% y/y). Management noted growth was led by YouTube subscription followed by Google One, with strong traction for Gemini capabilities.
- **Cloud revenue beat and acceleration:** 2Q cloud revenue at \$13.6bn (up 32% y/y) was above Street at \$13.1bn (up 27% y/y). Google Cloud operating income increased to \$2.8bn and operating margin increased to 20.7% (from 11.3% in 2Q'24).
- **Strong cloud deal activity:** Management noted strong momentum in Cloud (\$250mn deals up 2x y/y in 2Q, backlog up 38% y/y, and new customers +28% q/q) & raised FY25 capex guide to \$85bn (vs \$75bn prior) to support accelerated data center buildout.
- **AI Search feature driving higher engagement:** Management highlighted AI Overviews are now driving over 10% more queries globally for the types of queries that show them, and this growth continues to increase over time. They also noted strong momentum in multimodal search, fueled by the combined use of Lens, Circle to Search, and AI Overviews.
- **Growing Gemini app traction:** Alphabet highlighted Gemini app now has over 450mn monthly active users (vs 400mn in May), with daily requests growing over 50% since 1Q.
- **AI integrations improving Search performance:** Management highlighted advertisers using AI Max in Search campaigns typically see 14% more conversions, and those using Smart Bidding Exploration see a 19% increase in conversions on average.



- **Click growth accelerated:** In 2Q, paid click growth accelerated 2pts q/q to 4% y/y (vs 2% in 1Q'25).
- **Ramping Shorts monetization:** Management noted YouTube Shorts in US now deliver the same ad revenue per hour as traditional in-stream ad

2Q Negatives:

- **Deceleration in ex-FX Search growth:** We estimate ex-FX Search growth decelerated 1pts q/q to 11% y/y (vs 12% in 1Q) on 1pts tougher y/y comp. We think the deceleration was likely due to tougher q/q financial services comp.
- **Growing capex will lower FCF and increase future depreciation expense:** We are raising our 2025 Capex estimate to \$86bn from \$76bn and lowering our 2025 FCF estimate to \$62bn from \$71bn. D&A y/y growth accelerated to 35% in 2Q (vs 31% in 1Q) and expected to further accelerate in 3Q.
- **Some negative possible catalysts ahead:** While not discussed on the call, we see potential for some negative catalysts, possibly including: OpenAI launching ads and browser, new product rollouts from Meta & other emerging competitors, and DoJ Search case remedy ruling (expected in Aug).

Read-across for Online Media & Amazon AWS

Meta – Solid YouTube & Search 2Q results a positive read across

We view Google's ad revenue beat as a positive read-through for Meta and believe YouTube's performance offers a more relevant comparison for Meta's ad trends than Google Search. YouTube revenues grew 13% y/y in 2Q (vs Street 11%) and had a modest 3pt q/q acceleration in 2Q (on an 8pt easier comp). Ex-FX the growth we estimate that growth was stable in 2Q at around 12%. Management highlighted that YouTube growth in 2Q was driven by DR followed by brand advertising.

For 2Q'25, we estimate stable q/q advertising revenue growth for Meta at \$44.5bn (up 16% y/y) vs Street \$43.7bn. However, ex-FX this represents a 5pt q/q deceleration, while YouTube's ex-FX growth was stable. We think Meta could report total revenue at or above the upper end of its 2Q revenue guidance range (which was \$45.5bn). We would expect the upper end of 3Q revenue guidance to be \$1bn higher than 2Q reported revenues.

Network rev. & YouTube beat, modest positive read across for SMID platforms

We think Google network (\$7.4bn vs Street \$7.2bn) and YouTube beat (\$9.8bn vs Street \$9.5bn) are a slightly positive read across for SMID platforms (Pinterest, Snap), as results suggest a stable ad environment (vs significant uncertainty in April). In 2Q, Google network revenue growth accelerated 1pts to down 1% y/y on a 4pt easier comp, while YouTube growth was relative stable ex-FX at 12%E.

Pinterest: For 2Q'25, we expect Pinterest revenue growth to decelerate 1pt q/q to 15% y/y on a 2pt more difficult comp, with revenues of \$980mn (vs Street \$974mn, up 14% y/y). As Google's results suggest a stable ad market with 1Q, we continue to anticipate modest upside potential to Street 2Q estimates.

Potential factors that could drive upside in 2Q include: Recovery in CPG category, lapping F&B headwind comps, ramping traction of new DR solutions (Performance+, Dynamic creative optimization, ROAS ads bidding) and growing 3P partnerships. Risk is sluggish recovery in CPG vertical, potential pressure on brand ad spend due to macro uncertainty, slower than expected ramp of new DR solutions & 3P partnerships.

Snap: For 2Q'25, we expect Snap ad revenue growth to decelerate 6pts q/q to 3% y/y on 6pts easier comp, with ad revenues of \$1,162mn (vs Street \$1,186mn, up 5% y/y).



With add market stability suggested in Google's results, we see potential upside to our and Street 2Q estimates.

Potential positive factors for Snap in 2Q include: growing traction for new DR solutions (CAPI, Optimization, etc.), stronger than expected traction of Snapchat+, and ramping Sponsored Snaps monetization. Risks include potential pressure on brand ad spend due to macro uncertainty and slower than expected ramp of new DR solutions due to ROI variability.

AWS – Google Cloud solid beat, a positive read across for capex spend

In 2Q, Google Cloud revenue grew 32% y/y (vs Street 27%), with growth accelerating 4pts q/q on 1pts tougher y/y comp. We see this as a positive read across for AWS, where Street could be looking for 17% growth (same as 1Q on a 3pt more difficult y/y comp). Management noted in 2Q Google Cloud faced a tight demand-supply environment, and there should be a strong correlation between capacity deployment and cloud growth. For AWS, given accelerating capex spend over the past 5 quarters, we see potential for revenue acceleration in 2H'25. Risk is AWS' proprietary infrastructure is less attractive to AI customers and Amazon is losing AI share.



Actual vs Expected Results

2Q gross revenue at \$96.4bn (up 14% y/y, 13% ex-FX) was above Street at \$94bn, driven by upside across all key segments. Search revenues grew 12% y/y (vs Street 9%) with growth accelerating 2pts q/q (we estimate growth ex-FX decelerated 1pts q/q on a 1pts tougher comp). Cloud grew 32% y/y & was significantly above Street at 27%. 2Q EPS at \$2.31 was above Street at \$2.18 & benefited from higher topline growth and other income upside. Operating margins declined 17bps y/y to 38.3% & were impacted by 1x legal expense of \$1.4bn. Ex-legal expenses, core Google margins would have been up 161pbs y/y to 41.8%

Exhibit 1: Alphabet actual vs estimates (\$ in millions)

2Q'25 Net Revenue/EPS was above Street

2Q'25 Actual vs Street vs BofA

Alphabet Actual vs Street Results	BofA	Street	Actual	Act vs Street	Act vs BofA
Google segment Revs					
Google Search & other	\$53,824	\$52,929	\$54,190	\$1,261	\$366
y/y %	11%	9%	12%		
YouTube ads	\$9,616	\$9,582	\$9,796	\$214	\$180
y/y %	11%	11%	13%		
Network Revenue	\$7,296	\$7,248	\$7,354	\$106	\$58
y/y %	(2%)	(3%)	(1%)		
Google Cloud Revenue	\$13,244	\$13,137	\$13,624	\$487	\$380
y/y %	28%	27%	32%		
Subscription, platforms and devices	\$10,942	\$10,718	\$11,203	\$485	\$261
y/y %	18%	15%	20%		
Other Bets Segment Revs	\$416	\$412	\$373	(\$39)	(\$43)
y/y %	14%	13%	2%		
Consolidated Gross Revenue	\$95,338	\$94,009	\$96,428	\$2,419	\$1,090
TAC	\$14,319	\$14,210	\$14,705	\$495	\$386
Google Net Revenue	\$81,020	\$79,862	\$81,723	\$1,861	\$703
y/y %	14%	12%	15%	2.6%	1.0%
Other cost of revenue	\$24,613	\$24,632	\$24,334	(\$298)	(\$279)
Research and Development	\$14,056	\$13,524	\$13,808	\$284	(\$248)
Sales and Marketing	\$6,522	\$6,924	\$7,101	\$177	\$579
General & Administrative	\$3,639	\$3,619	\$5,209	\$1,590	\$1,570
Total Opex	\$24,217	\$24,075	\$26,118	\$2,043	\$1,901
y/y %	11%	10%	20%	9%	9%
GAAP Operating Income	\$32,190	\$31,112	\$31,271	\$159	(\$919)
Margin	39.7%	39.0%	38.3%	-0.7%	-1.5%
D&A	\$4,967	\$5,043	\$4,998	(\$45)	\$31
SBC	\$6,116	\$6,227	\$5,998	(\$229)	(\$118)
Adj EBITDA	\$43,273	\$42,381	\$42,267	(\$114)	(\$1,006)
Margin	53.4%	53.1%	51.7%	-1.3%	-1.7%
Other Income	\$300	\$956	\$2,662	\$1,706	\$2,362
Income before taxes	\$32,490	\$32,024	\$33,933	\$1,909	\$1,443
Taxes	\$5,523	\$5,370	\$5,737	\$367	\$214
Tax Rate %	17%	17%	17%	0%	0%
Non-GAAP EPS	\$2.62	\$2.57	\$2.72	\$0.15	\$0.10
GAAP EPS	\$2.21	\$2.18	\$2.31	\$0.14	\$0.10
Headcount	187,319	187,305	187,103	(202)	(216)
US Gross Revenue	\$45,286	\$45,424	\$46,063	\$639	\$777
EMEA Gross Revenue	\$28,680	\$27,384	\$28,262	\$878	(\$418)
APAC Gross Revenue	\$15,516	\$15,391	\$16,480	\$1,089	\$964
Other Americas Gross Revenue	\$5,856	\$5,593	\$5,735	\$142	(\$121)

Source: BofA Global Research estimates, Company Filings, Visible Alpha

BofA GLOBAL RESEARCH



Estimate changes

We are raising our estimates to reflect higher growth in all key segments and raising Opex for higher D&A and AI related expenses. For 3Q, we raise net revenue by 1% to \$85.2bn and EPS by 3% to \$2.37. For 2025, we raise net revenue by 1% to \$93.4bn and EPS by 2% to \$10.06. For 2026, we raise net revenue by 1% to \$382bn and EPS by 2% to \$10.60. We estimate ~\$21bn D&A expense in 2025 (up 37% y/y) and \$62bn FCF (down 15% y/y).

Exhibit 2: Alphabet Estimate Changes

We are raising our 2026 GAAP EPS estimate, key for valuation, by 2% to \$10.60.

	3Q'25 Estimates			4Q'25 Estimates			2025 Estimates			2026 Estimates		
	Old	New	Change	Old	New	Change	Old	New	Change	Old	New	Change
Google Search	\$54,644	\$55,043	\$400	\$59,830	\$60,227	\$398	\$219,000	\$220,163	\$1,163	\$240,795	\$242,324	\$1,530
YouTube	\$9,902	\$9,992	\$89	\$11,625	\$11,625	\$0	\$40,070	\$40,340	\$269	\$45,006	\$45,172	\$165
Google Network Websites	\$7,403	\$7,426	\$23	\$7,822	\$7,822	\$0	\$29,776	\$29,858	\$81	\$29,953	\$29,954	\$1
Google Cloud	\$14,477	\$14,851	\$374	\$15,582	\$15,735	\$153	\$55,563	\$56,470	\$907	\$70,809	\$72,594	\$1,785
Subscription, platforms and devices	\$12,349	\$12,604	\$254	\$13,386	\$13,854	\$467	\$47,057	\$48,039	\$982	\$53,370	\$54,795	\$1,426
Google Gross Revenue	\$98,775	\$99,915	\$1,140	\$108,245	\$109,263	\$1,018	\$391,467	\$394,869	\$3,403	\$439,933	\$444,839	\$4,906
Traffic Acquisition Costs (TAC)	\$14,720	\$15,068	\$347	\$15,924	\$16,256	\$331	\$58,711	\$59,777	\$1,065	\$63,254	\$65,113	\$1,859
Google Net Revenue (ex-TAC)	\$84,501	\$85,212	\$711	\$92,801	\$93,437	\$637	\$334,807	\$336,859	\$2,051	\$378,829	\$381,736	\$2,907
Y/Y	13%	14%	1.0%	14%	14%	0.8%	13%	14%	0.7%	13%	13%	0.2%
Other Bets Revenues	\$446	\$415	(\$31)	\$480	\$480	\$0	\$1,792	\$1,718	(\$74)	\$2,151	\$2,010	(\$141)
Y/Y	15%	7%	-8.0%	20%	20%	0.0%	9%	4%	-4.5%	20%	17%	-3.0%
Consolidated Gross Revenue	\$99,221	\$100,280	\$1,059	\$108,725	\$109,693	\$968	\$393,519	\$396,635	\$3,117	\$442,084	\$446,849	\$4,766
Consolidated Net Revenue (ex-TAC)	\$84,501	\$85,212	\$711	\$92,801	\$93,437	\$637	\$334,807	\$336,859	\$2,051	\$378,829	\$381,736	\$2,907
Y/Y	13%	14%	1%	14%	14%	1%	13%	14%	1%	13%	13%	0%
Other Costs of Revenue	\$26,013	\$25,718	(\$295)	\$29,713	\$29,376	(\$337)	\$102,952	\$102,041	(\$911)	\$118,752	\$118,839	\$87
Gross Profit	\$58,488	\$59,494	\$1,006	\$63,088	\$64,061	\$973	\$231,855	\$234,817	\$2,962	\$260,077	\$262,898	\$2,820
<i>Gross Profit Margin</i>	<i>69.2%</i>	<i>69.8%</i>	<i>0.6%</i>	<i>68.0%</i>	<i>68.6%</i>	<i>0.6%</i>	<i>69.3%</i>	<i>69.7%</i>	<i>0.5%</i>	<i>68.7%</i>	<i>68.9%</i>	<i>0.2%</i>
Research and Dev.	\$14,556	\$14,498	(\$58)	\$15,356	\$15,295	(\$61)	\$57,524	\$57,158	(\$366)	\$66,624	\$66,827	\$203
Sales and Mktg	\$7,022	\$7,385	\$363	\$7,422	\$7,680	\$258	\$27,138	\$28,338	\$1,200	\$29,138	\$30,030	\$892
G & A	\$3,939	\$3,803	(\$136)	\$4,739	\$4,601	(\$138)	\$15,856	\$17,152	\$1,296	\$17,306	\$16,722	(\$584)
Total Operating Expenses	\$25,517	\$25,686	\$169	\$27,517	\$27,577	\$60	\$100,518	\$102,648	\$2,130	\$113,068	\$113,579	\$511
<i>% of net rev</i>	<i>30%</i>	<i>30%</i>	<i>0%</i>	<i>30%</i>	<i>30%</i>	<i>0%</i>	<i>30%</i>	<i>30%</i>	<i>0%</i>	<i>30%</i>	<i>30%</i>	<i>0%</i>
Operating Income - GAAP	\$32,971	\$33,808	\$837	\$35,571	\$36,484	\$914	\$131,337	\$132,170	\$832	\$147,009	\$149,318	\$2,309
<i>Margin</i>	<i>39%</i>	<i>40%</i>	<i>1%</i>	<i>38%</i>	<i>39%</i>	<i>1%</i>	<i>39%</i>	<i>39%</i>	<i>0%</i>	<i>39%</i>	<i>39%</i>	<i>0%</i>
<i>Incremental Margin</i>	<i>45%</i>	<i>50%</i>	<i>5%</i>	<i>41%</i>	<i>47%</i>	<i>6%</i>	<i>48%</i>	<i>47%</i>	<i>0%</i>	<i>36%</i>	<i>38%</i>	<i>3%</i>
SBC	\$6,066	\$5,948	(\$118)	\$6,116	\$5,998	(\$118)	\$23,814	\$23,460	(\$354)	\$26,484	\$26,162	(\$322)
Operating Income - non-GAAP	\$39,037	\$39,756	\$719	\$41,687	\$42,482	\$796	\$155,151	\$155,630	\$478	\$173,493	\$175,480	\$1,987
<i>% of net rev</i>	<i>46.2%</i>	<i>46.7%</i>	<i>0.5%</i>	<i>44.9%</i>	<i>45.5%</i>	<i>0.5%</i>	<i>46.3%</i>	<i>46.2%</i>	<i>-0.1%</i>	<i>45.8%</i>	<i>46.0%</i>	<i>0.2%</i>
D&A	\$5,447	\$5,548	\$101	\$5,947	\$6,098	\$151	\$20,848	\$21,131	\$283	\$30,108	\$31,072	\$964
Adj. EBITDA	\$44,484	\$45,304	\$820	\$47,634	\$48,580	\$947	\$175,999	\$176,761	\$761	\$203,601	\$206,552	\$2,951
<i>Margin</i>	<i>52.6%</i>	<i>53.2%</i>	<i>0.5%</i>	<i>51.3%</i>	<i>52.0%</i>	<i>0.7%</i>	<i>52.6%</i>	<i>52.5%</i>	<i>-0.1%</i>	<i>53.7%</i>	<i>54.1%</i>	<i>0.4%</i>
Interest income and other, net	\$790	\$790	\$0	\$800	\$800	\$0	\$13,073	\$15,435	\$2,362	\$3,325	\$3,325	\$0
Income pre-tax and acct. change	\$33,761	\$34,598	\$837	\$36,371	\$37,284	\$914	\$144,410	\$147,605	\$3,194	\$150,334	\$152,643	\$2,309
Provision for tax	\$5,672	\$5,813	\$141	\$6,256	\$6,413	\$157	\$24,700	\$25,211	\$512	\$24,956	\$25,339	\$383
Effective tax rate (Reported)	16.8%	16.8%	0.0%	17.2%	17.2%	0.0%	17.1%	17.1%	0.0%	16.6%	16.6%	0.0%
Net income - GAAP	\$28,089	\$28,786	\$697	\$30,115	\$30,871	\$756	\$119,711	\$122,393	\$2,683	\$125,379	\$127,304	\$1,926
Net income - non-GAAP	\$33,124	\$33,723	\$599	\$35,179	\$35,838	\$659	\$139,445	\$141,839	\$2,395	\$147,440	\$149,097	\$1,657
Diluted GAAP EPS	\$2.31	\$2.37	\$0.06	\$2.49	\$2.56	\$0.07	\$9.82	\$10.06	\$0.23	\$10.42	\$10.60	\$0.18
Diluted EPS (ex-SBC)	\$2.73	\$2.78	\$0.05	\$2.91	\$2.97	\$0.06	\$11.44	\$11.66	\$0.21	\$12.25	\$12.41	\$0.16
Diluted shares	12,151	12,128	(23)	12,081	12,058	(23)	12,186	12,169	(17)	12,035	12,015	(20)
Capital expenditures	\$19,435	\$23,007	\$3,572	\$20,880	\$22,892	\$2,012	\$75,742	\$85,542	\$9,801	\$87,428	\$97,805	\$10,377
Headcount	189,719	189,503	(216)	191,419	191,303	(116)	191,419	191,303	(116)	200,719	200,303	(416)

Source: BofA Global Research estimates

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Valuation

PO change: We are raising our PO to \$217 (from \$210) based on a higher 2026 GAAP EPS of \$10.91 and unchanged 19x multiple, plus cash.

Exhibit 3: Alphabet valuation

We are raising our PO to \$217

	2026 GAAP
Other Bets losses (mn)	(\$5,504)
Estimated Tax Savings	\$936
Other Bets Losses ex-Tax	(\$4,568)
2025 Diluted Shares	12,169
GAAP EPS Impact	(\$0.38)
2026E Total GAAP EPS	\$10.60
GAAP P/E	18x
Adjusted EPS*	\$10.91
Applying a target PE multiple	19x
Implied Target Price / Share	\$205
Plus YE26 cash/share	\$11.8
Implied Target Price / Share	\$217

Source: BofA Global Research

BofA GLOBAL RESEARCH

Sum of the parts valuation

At the AH GOOG stock price of ~\$195, Alphabet stock is valued at 19x our revised GAAP 2026 EPS, vs a 14-year historical range of 13-30x and 10-year average of 22x. Backing out our estimated values for YouTube, YouTube Subscription, Cloud, Waymo, and cash, as well as the potential earnings contribution from YouTube, and \$4.6bn in after-tax losses from Other Bets investments, we estimate the implied valuation on core Google advertising and Play businesses at 12x 2026E earnings, which we think is attractive vs the S&P 500 at 21.5x (assuming 2026 GAAP EPS of \$295).

Exhibit 4: Sum-of-the-Parts and Core Valuation Analysis on 2026 estimates

Alphabet core services sum-of-the-parts valuation analysis based on GOOG share price of ~\$195.

Alphabet Sum of the Parts Valuation (2026 Estimates)						
		Net				
	Mkt Cap	Revenue	P/S	Net income	P/E	Comment
Alphabet Total	\$2,373	\$382	6.2x	\$127	19x	
YouTube	(\$181)	(\$45)		(\$4.5)	40x	4.0x revenues (peers at 3-5x), assumes 12% profit margin and a 17% tax rate
Subscription	(\$105)	(\$35)		(\$2.9)		Assumes 3x P/S multiple and 10% margin & 17% tax rate
Google Cloud Profit/Losses	(\$581)	(\$73)		(\$12.5)		Assumes 8x P/S and 20% margins in 2026 and a 17% tax rate
Waymo	(\$50)	\$0		\$0.0		Reflects time horizon & potential technology value
Other Bets losses		(\$2)		\$4.6		Waymo loss included, and incorporates a 17% tax rate
YE'25 Cash & Equivalents	(\$94)			(\$2.3)		Excludes net cash, est. 3% interest income and 17% tax rate
Google core services	\$1,362	\$227	6.0x	\$110	12x	

Source: BofA Global Research estimates

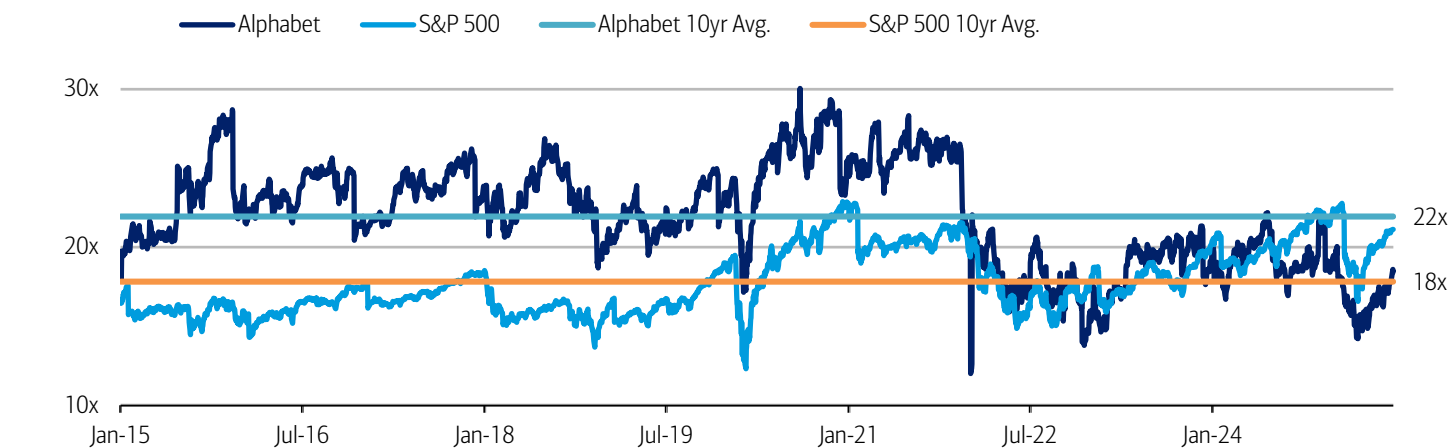
BofA GLOBAL RESEARCH

At the AH price of ~\$195, Alphabet is valued at 19x our revised 2026 GAAP EPS vs a 2yr forward GAAP PE historical average of 22x and 16-year historical range of 12-30x. In the last 10yrs, Alphabet has traded at an average 4pts premium to S&P 500 which is now valued 21.5x (assuming 2026 GAAP EPS of \$295). The stock is now at a 2.5pt discount.



Exhibit 5: Alphabet & S&P 500 2yr Forward GAAP PE Multiple

At the AH price of ~\$195, Alphabet is currently trading at 19x our revised 2026 GAAP EPS.



Source: Bloomberg

BofA GLOBAL RESEARCH



Price objective basis & risk

Alphabet (GOOGL / GOOG)

Our price objective of \$217/\$217 is based on 19x 2026E core Google GAAP EPS plus cash per share. Alphabet has traded at an average multiple of 22x GAAP P/E over the last ten years and we think our multiple is reasonable vs history given expectations for double-digit revenue growth, Cloud margin expansion, and opportunity to capitalize on strong AI assets.

Downside risks are: 1) loss of search traffic to AI tools from competitors, 2) LLM integration in search may take longer than expected or negatively impact search revenues, 3) revenue pressure from compliance with the EU Digital Markets Act (DMA), 4) adverse judge ruling on the ongoing Department of Justice (DOJ) search distribution trial, and 5) potential for increasing Capex and lower FCF-given AI investments.

Analyst Certification

I, Justin Post, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Special Disclosures

BofA Securities is currently acting as Financial Advisor to Alphabet Inc in connection with its proposed acquisition of Wiz, Inc., which was announced on March 18, 2025.

US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	ACV Auctions	ACVA	ACVA US	Curtis Nagle, CFA
	Alphabet	GOOGL	GOOGL US	Justin Post
	Alphabet	GOOG	GOOG US	Justin Post
	Amazon.com	AMZN	AMZN US	Justin Post
	AppLovin	APP	APP US	Omar Dessouky, CFA
	Carvana	CVNA	CVNA US	Michael McGovern
	Chewy Inc	CHWY	CHWY US	Curtis Nagle, CFA
	DoorDash	DASH	DASH US	Michael McGovern
	Expedia	EXPE	EXPE US	Justin Post
	Integral Ad Science Holding Corp.	IAS	IAS US	Omar Dessouky, CFA
	Magnite, Inc.	MGNI	MGNI US	Omar Dessouky, CFA
	Meta Platforms Inc	META	META US	Justin Post
	Peloton	PTON	PTON US	Curtis Nagle, CFA
	Pinterest	PINS	PINS US	Justin Post
	Playtika	PLTK	PLTK US	Omar Dessouky, CFA
	Roblox Corp. Class A	RBLX	RBLX US	Omar Dessouky, CFA
	Take-Two Interactive	TTWO	TTWO US	Omar Dessouky, CFA
	Uber	UBER	UBER US	Justin Post
	Wix.com	WIX	WIX US	Michael McGovern
NEUTRAL				
	Airbnb	ABNB	ABNB US	Justin Post
	Booking Holdings Inc	BKNG	BKNG US	Justin Post
	CoStar Group, Inc	CSGP	CSGP US	Curtis Nagle, CFA
	DoubleVerify Holdings, Inc.	DV	DV US	Omar Dessouky, CFA
	Duolingo	DUOL	DUOL US	Curtis Nagle, CFA
	eBay	EBAY	EBAY US	Justin Post
	Electronic Arts	EA	EA US	Omar Dessouky, CFA
	Etsy, Inc.	ETSY	ETSY US	Curtis Nagle, CFA
	Ibotta	IBTA	IBTA US	Curtis Nagle, CFA
	Instacart	CART	CART US	Justin Post
	Match Group	MTCH	MTCH US	Curtis Nagle, CFA



US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Reddit	RDDT	RDDT US	Justin Post
	Snap	SNAP	SNAP US	Justin Post
	Tripadvisor	TRIP	TRIP US	Nafeesa Gupta
	Udemy Inc	UDMY	UDMY US	Nafeesa Gupta
	Wayfair	W	W US	Curtis Nagle, CFA
	Zillow	Z	Z US	Curtis Nagle, CFA
	Zillow Group	ZG	ZG US	Curtis Nagle, CFA

UNDERPERFORM

	Bumble	BMBL	BMBL US	Curtis Nagle, CFA
	Cardlytics, Inc	CDLX	CDLX US	Omar Dessouky, CFA
	Coursera Inc.	COUR	COUR US	Nafeesa Gupta
	Digital Turbine, Inc	APPS	APPS US	Omar Dessouky, CFA
	LegalZoom	LZ	LZ US	Michael McGovern
	Lyft, Inc.	LYFT	LYFT US	Michael McGovern
	Opendoor Technologies	OPEN	OPEN US	Curtis Nagle, CFA
	RH	RH	RH US	Curtis Nagle, CFA
	Unity	U	U US	Omar Dessouky, CFA
	Vivid Seats	SEAT	SEAT US	Curtis Nagle, CFA
	Yelp	YELP	YELP US	Nitin Bansal, CFA

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

EV / EBITDA

Basic EBIT + Depreciation + Amortization

iQmethodSM is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and valuations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

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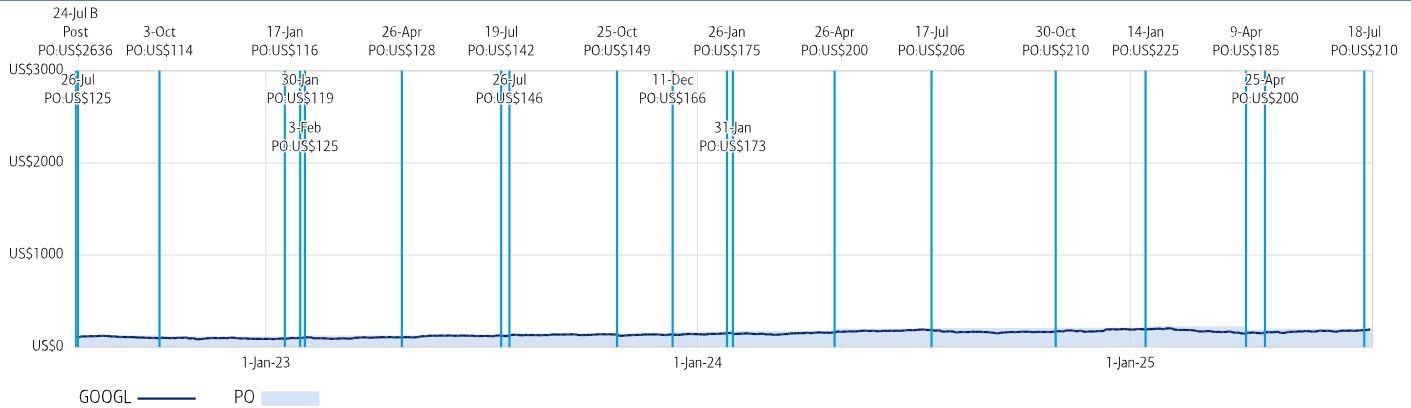
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Disclosures

Important Disclosures

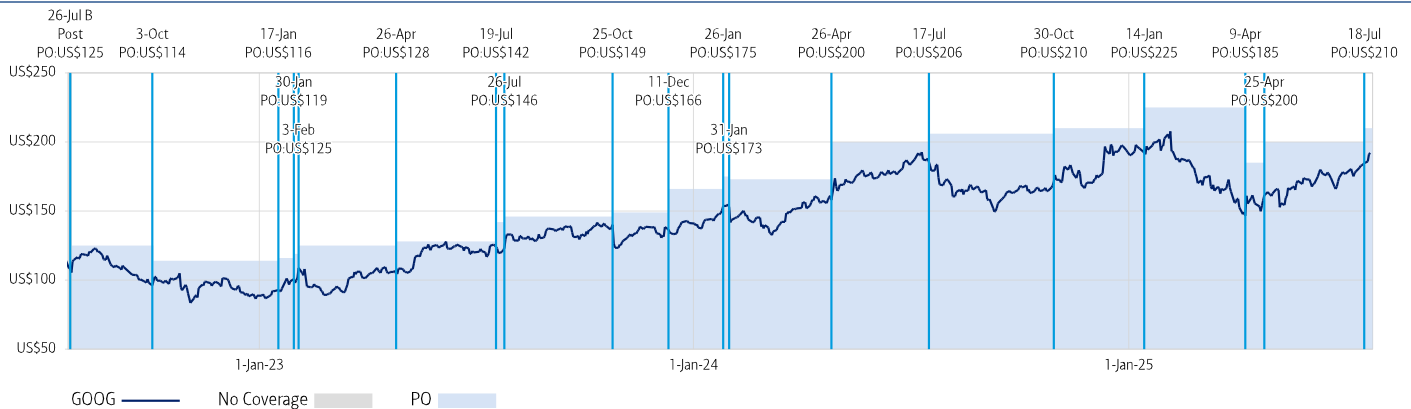
Alphabet A (GOOGL) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Alphabet C (GOOG) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	205	52.84%	Buy	103	50.24%
Hold	100	25.77%	Hold	53	53.00%
Sell	83	21.39%	Sell	23	27.71%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1840	53.64%	Buy	1081	58.75%
Hold	807	23.53%	Hold	472	58.49%
Sell	783	22.83%	Sell	375	47.89%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.



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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2}Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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